



AGENDA BILL

Agenda Item No. 9.C.

Date: November 19, 2024
To: El Cerrito City Council
From: Crystal Reams, Finance Director/City Treasurer, Finance Department
Subject: FY 2024-25 First Quarter General Fund Update

ACTION PROPOSED

Receive and file the FY 2024-25 General Fund Budget Quarterly update through September 2024.

BACKGROUND/ANALYSIS

The El Cerrito City Council adopted the budget for Fiscal Year (FY) 2024-25 on June 18, 2024, as part of the FY 2024-25 and 2025-26 Biennial Budget. The Council has closely monitored the City's budget and financial position and directed City staff to submit quarterly General Fund financial update reports.

The General Fund Update (Attachment 1) includes information on revenues and expenditures and lists the year-to-date totals by classification and by department. This report summarizes the major General Fund revenue and expenditure categories through September 30, 2024 on a cash basis (excluding the pre-payment of the City's UAL) and includes comparisons to the prior year's actuals. Similar to the first quarter reports from prior fiscal years, revenue cycles for many revenue sources - including property taxes - occur in the second, third and fourth quarters of the fiscal year. Consequently, revenue receipts are not realized in equal quarterly amounts.

The following are FY 2024–25 highlights occurring for the report period of July 1, 2024, through September 30, 2024, and reflect preliminary unaudited cash basis information:

1. Total revenue was \$7.4 million, approximately 14% of the adopted FY 2024-25 budget. As a reminder, property taxes are the City's largest income category and are received in December and April each year. The majority of revenues are non-departmental, as they are general and not allocated to one department.
2. Real property transfer taxes collected through September (cash basis) are \$545,480 which is 18% of the adopted FY 2024-25 budget. This is almost double what was collected in the first quarter of FY 2023-24 at 9% of the adopted budget. Staff will continue to monitor revenue streams closely and will report back to the City Council at mid-year.
3. Total expenditures were \$14.2 million, approximately 28% of the adopted budget, which is slightly higher than the 25% from the 1st quarter of FY 2023-24. The annual premium for workers' compensation, which was previously paid in two installments, was paid in one installment for FY 2023-24.

4. Personnel costs of \$9.9 million include all personnel related costs. Personnel is the largest component of General Fund expenditures (73%). Currently, the City has a 9.7% vacancy rate.

STRATEGIC PLAN CONSIDERATIONS

This report is consistent with the City's Strategic Plan Goal *High-Performing Organization: Ensure the City maintains a strong financial position* - and will allow the City Manager to develop a plan to ensure that Citywide revenue meets the costs of providing Citywide services, including adequate reserves in the face of significant unanticipated revenue shortfalls. It further ensures procedures that represent best practices in financial management.

ENVIRONMENTAL CONSIDERATIONS

This section is not applicable to this agenda item.

FINANCIAL CONSIDERATIONS

General Fund revenues and expenditures for FY 2024-25, both overall and by department, are tracking as expected for the first quarter of the fiscal year. Staff will continue to monitor revenues and expenditures and will propose any adjustments at mid-year if necessary.

LEGAL CONSIDERATIONS

This section is not applicable to this agenda item.

Reviewed by:



Karen Pinkos, City Manager

Attachments:

1. First Quarter General Fund Update FY 2024-25



General Fund Budget Update

Quarter 1 FY 2024-25

07/01/24 – 09/30/24

INTRODUCTION

The City of El Cerrito is pleased to submit the Quarter 1 FY 2024-25 General Fund Budget Update, for the period 07/01/24 through 09/30/24. The report provides a high-level overview of the City's status on the budget, with expenditures by department, showing unaudited actuals.

GENERAL FUND REVENUES

FY 2024-25 General Fund revenue is budgeted at \$51.4 million. Table 1 shows the year-to-date revenues by classification, and Table 2 shows the year-to-date revenues by department. As of September 30, 2024, tax revenues are at 8% of budget, primarily due to revenue cycles for property taxes—the largest income source for the City—which are received in December and April and consequently not reflected in Quarter 1 revenue actuals. Taxes partially received during Quarter 1 include business license taxes, utility users' taxes, sales taxes, and real property transfer taxes (July and August only). Overall General Fund Revenues for Quarter 1 are at 14% of the total FY 2024-25 Adopted Budget, which is in line with the 14% received for Quarter 1 FY 2023-24.

Table 1 reflects real property transfer taxes for the months of July and August only, as September funds (totaling \$287,286) were received in October and will be reflected in the FY 2024-25 Mid-year Budget Update. Adding the September real property transfer tax funds to the Quarter 1 revenue actuals results in year-to-date revenue of \$832,766 or 27% of the Adopted Budget. Property transfer taxes are performing slightly over the projected amount in the FY 2024-25 Adopted Budget, which is higher than the prior fiscal year at 9%. Staff will continue to monitor revenue streams closely and will report back to the City Council at mid-year.

Table 1
General Fund Revenue – Classification
Quarter 1

Classification	Budget Amount	YTD – Q1 Actuals	% of Budget	Prior YTD – Q1 Actuals
Property Taxes	\$16,461,935	\$-	0%	\$-
Sales Taxes	4,517,790	\$403,823	9%	\$239,214
Transient Occupancy Taxes	100,000	-	0%	-
Measure R Sales Tax	4,459,000	306,825	7%	309,969
Franchise Taxes	1,380,000	-	0%	-
Business License Taxes	1,182,817	1,010,346	8%	964,922
Property Transfer Taxes	3,000,000	545,480	18%	403,642
Utility Users' Taxes	3,694,260	369,449	10%	503,060
Other Taxes	1,500	-	0%	1,238
Taxes Totals	\$34,797,302	\$2,635,923	8%	\$2,422,045
Licenses & Permits	1,007,000	598,912	59%	320,046
Fines & Forfeitures	130,000	35,798	28%	49,828
Use of Money and Property	957,000	125,489	13%	362,475
Intergovernmental Revenues	5,334,401	741,136	14%	905,519
Charges for Services Totals	7,528,702	2,975,086	40%	2,372,305
Other Revenue Totals	630,000	63,603	10%	62,926
Other Financing Sources Totals	1,002,039	251,428	25%	245,213
Totals	\$51,386,444	\$7,427,375	14%	\$6,740,357

Table 2
General Fund Revenues – Department
Quarter 1

Revenue	Budget Amount	YTD – Q1 Actuals	% of Budget	Prior YTD – Q1 Actuals
Administration	\$11,500	\$5,934	52%	\$2,504
Community Development	2,517,396	1,067,142	42%	1,062,808
Fire	5,384,101	746,570	14%	516,235
Non-departmental	37,083,964	2,909,808	8%	2,933,353
Police	186,000	49,781	27%	49,380
Public Works	599,132	132,899	22%	269,141
Recreation	5,604,351	2,515,241	45%	1,906,936
Totals	\$51,386,444	\$7,427,375	14%	\$6,740,357

GENERAL FUND EXPENDITURES

General Fund expenditures are budgeted at \$51.4 million for FY 2024-25. Tables 3 and 4 show the expenditures year-to-date by classification and by department, respectively. Departments are on track for Quarter 1 at 28% of budgeted expenditures. This is slightly above the Quarter 1 FY 2023-24 expenditures at 25%.

As in previous fiscal years, Personnel is the largest component of General Fund expenditures (73%). Departments have continued to fill vacant positions, and we are now trending at 26% of budgeted expenditures. This is slightly higher than Quarter 1 FY 2023-24 at 24%.

The City has previously paid the annual workers compensation premium in two annual installments. This year the City paid the entire \$1 million premium at the beginning of the fiscal year which was allocated to departments as of the payment date; this increased expenditures by about \$500,000 compared to the prior fiscal year. In Table 3, the actual expenditures reflected in the “Other Purchased Services” classification includes the one-time full fiscal year’s annual insurance premiums which are paid each year in July; in Table 4 expenditures reflected for the Administration Department include the one-time full fiscal year’s annual payments. The City also pre-paid the CalPERS UAL contribution in full for FY 2024-25 at the beginning of the fiscal year. Since the UAL payment is significant in its amount of \$6.9 million, the City elected to record this as a pre-paid amount and an allocation is done monthly to show a more accurate representation for budget comparison, as this is how it was presented in previous fiscal years.

Table 3
General Fund Expenditures – Classification
Quarter 1

Classification	Budget Amount	YTD – Q1 Actuals	% of Budget	Prior YTD – Q1 Actuals
Personnel	\$37,627,934	\$9,888,132	26%	\$8,529,690
Purchased Professional & Technical Services	5,007,187	889,189	18%	915,970
Purchased Property Services	2,194,905	358,919	16%	277,293
Other Purchased Services	3,852,088	2,458,340	64%	2,025,341
Supplies	876,170	179,557	20%	168,400
Property & Capital	496,056	30,847	6%	53,671
Financing Costs	539,823	54,909	10%	106,631
Other Financing Uses	758,329	379,164	50%	291,382
Totals	\$51,352,492	\$14,239,057	28%	\$12,368,378

Table 4
General Fund Expenditures – Department
Quarter 1

Expenditures	Budget Amount	YTD – Q1 Actuals	% of Budget	Prior YTD – Q1 Actuals
Administration	\$7,669,160	\$3,210,197	42%	\$2,822,721
Police	3,897,923	743,555	19%	602,907
Fire	15,213,744	4,208,967	28%	3,490,729
Public Works	882,691	309,969	35%	307,992
Community Development	14,574,609	3,469,868	24%	3,061,591
Recreation	2,463,130	471,231	19%	446,575
Non-departmental	6,651,235	1,825,270	27%	1,635,863
Totals	\$51,352,492	\$14,239,057	28%	\$12,368,378

CONCLUSION

The City of El Cerrito is currently on track to meet our FY 2024-25 budget goals. Revenues are not received in equal quarterly releases, primarily due to the biannual funding cycle (December and April) for property taxes. Expenditures are on track, with departments spending approximately 28% of their annual budget in Quarter 1.

Staff is continuously monitoring revenue and expenditure trends. Any trends indicating a need for budget adjustments are determined after the completion of Quarter 2 and will be reported to City Council at the FY 2024-25 Mid-year budget session.